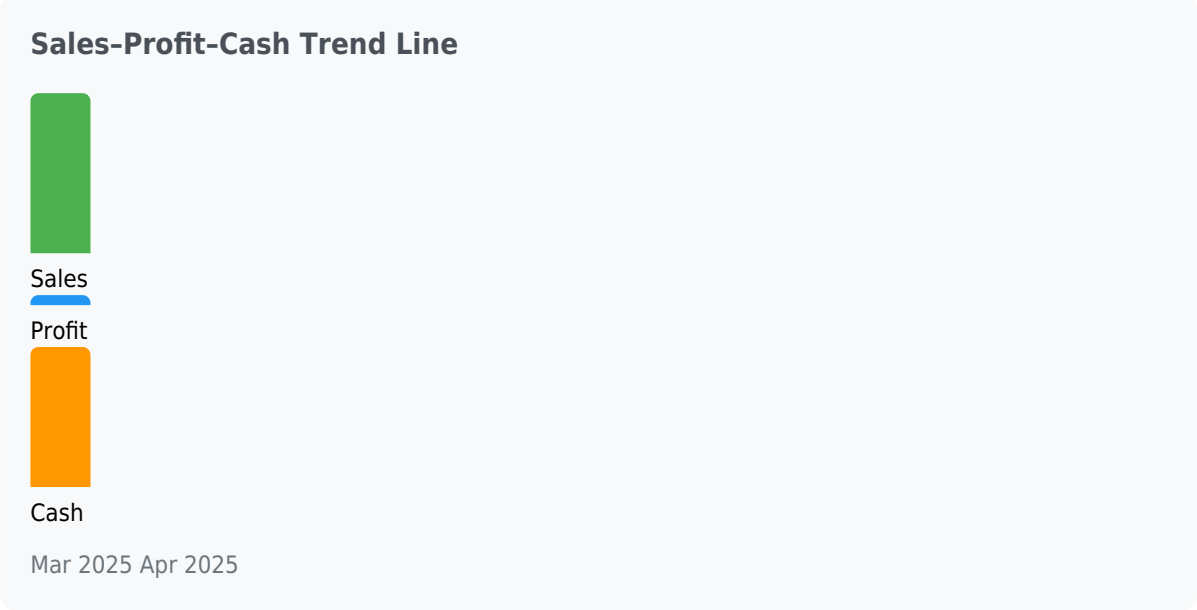
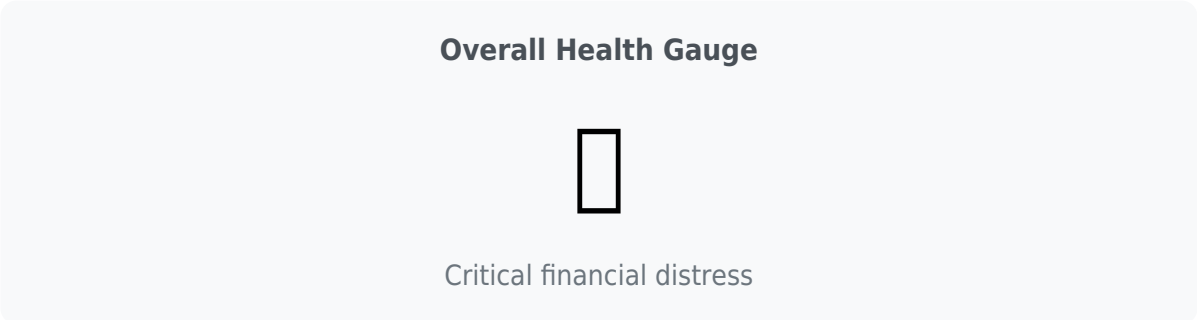


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# Profit Niti AI CFO Report

## 1 Big Picture — How the Business Looks Right Now

The business is facing significant financial challenges with a dramatic negative equity position of -₹407.8M and massive losses of -₹602M in April 2025. While sales remain substantial at ₹966M, gross margins have collapsed to -60.67% due to soaring COGS. Cash position remains stable at ₹217M, but working capital has deteriorated sharply from ₹1B to ₹438M, indicating severe operational stress.



### GREEN FLAG BOX — What's Working Well:

- Strong cash position maintained at ₹217M despite losses
- Stable accounts receivable days at 14 days shows good collection
- Operating cash flow turned positive in March showing recovery potential

### RED FLAG BOX — What Needs Attention:

- Massive ₹602M loss in April 2025 eroding equity
- Gross margin collapsed to -60.67% due to COGS spike
- Negative equity position of -₹407.8M threatens solvency

#### CFO Advice:

"Immediate cost restructuring and pricing review required to address the catastrophic gross margin collapse. Consider emergency funding options to stabilize the negative equity position."

## 2 Profit Power — The Earning Engine

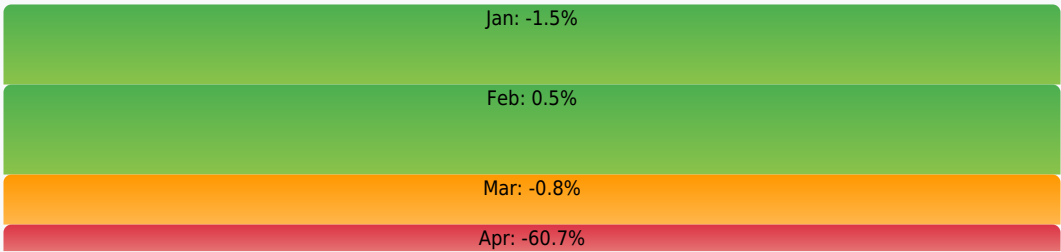
The profit engine has completely broken down with COGS exceeding sales by ₹586M in April, creating a -60.67% gross margin. While overheads remain controlled at 1.82% of sales, the core issue is massive cost of goods sold. Operating profit stands at -₹604M, with no interest coverage and negative returns across all metrics. The business is burning cash at an unsustainable rate.

#### Sales → Profit Waterfall



Gross Revenue Net Loss

Profit Margin Trend



Gross Margin Trend (%)

CFO Advice:

"Conduct immediate supplier cost analysis and consider temporary price increases. Explore product mix optimization to focus on higher-margin items and implement strict cost controls on procurement."

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